Policy priorities for stablecoin regulation: past, present and future

Financial Applications and Social Economics Working Group

BGIN

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The Global Network for Blockchain Stakeholders™

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Policy priorities for stablecoin regulation - past, present and future
A comparative analysis of MiCA (European Union) and VARA (United Arab Emirates)

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Abstract

Countries have increasingly recognized the importance of stablecoin regulation in recent years, leading to significant policy and legislative action in diverse jurisdictions. This paper offers a comparative analysis of two new regulatory regimes for stablecoins: those of the **European Union** and the **United Arab Emirates**. These two regions both present particularly compelling case studies due to the wider context of their comprehensive virtual asset regulations, which cover a broad range of activities and services; as well as their newness, being implemented recently. In examining these two fulsome and modern stablecoin regimes, we share insights into the critical drivers and policy motives behind each set of virtual asset regulations. We observe that these policy drivers are relevant across borders and are likely to arise in future regimes in other jurisdictions.

This paper is structured as follows: The paper begins with an overview of the key events that catalysed regulators' decision-making on their policy priorities, which provides critical context to the ongoing discourse on stablecoins. Subsequent analysis identifies potential policy gaps and issues that may require further examination by practitioners and policymakers. We conclude by providing a forward-looking perspective on stablecoin governance, including reforms that are now being operationalised in the **United States**.

1. Pivotal moments in stablecoin policy: key events that shaped present-day regulation

1.1 Blockchain payments in their first decade: 2008-2018

A starting point for considering developments in this sector may be to reflect on the notion, "why should regulators bother to contend with stablecoins at all, given other pressing policy priorities?" Following the invention of Bitcoin in 2008 and its subsequent launch in 2009, interest in virtual assets was slow to reach escape velocity in the mainstream mindshare. From any financial market regulator's perspective, risks of losses were largely confined to a small group of technologically sophisticated enthusiasts, and very few analysts were able to foresee the boom that would follow in blockchain-enabled fintech products such as stablecoins and other tokenized assets and property. Although blockchain payments have expanded exponentially since Bitcoin's launch; whether measured by the number of projects, wallets, investors, developers, or any number of other metrics; in those early years, many critics questioned the sustainability of the virtual asset industry as nothing more than a

passing fad, and therefore had reasons to hesitate when devoting resources to policy development. But the highly volatile sector continued to grow despite its challenges and, accordingly, to reveal its inherent risks to a growing audience of participants and observers.

Indeed, these risks ultimately materialised in some rather high-profile industry failures: including the implosion of the Initial Coin Offering (ICO) movement, which peaked in 2017 and which was primarily focused on crowdsourced retail funding models.[1] The ICO boom and bust was a catalyst for a diverse range of regulatory responses. Prior to the ICO trend, most of the regulatory work that had occurred in the virtual asset sector had been largely limited to: (1) ensuring that cryptocurrency exchanges could be captured by anti-money laundering rules, and (2) to ensuring that the capital gains realised by fortunate investors would be captured under tax law and enforcement activities. In some cases, the legal community also moved to clarify the application of property laws to Bitcoin. At best, some government programs encouraged experiments with blockchain technology through innovation labs, or pilot projects, still often outside of the fintech domain.

On the other hand, a number of more optimistic nations made some concerted efforts to create an enabling environment for cryptocurrency entrepreneurs. However, many of the early mover jurisdictions that aimed to proactively create bespoke frameworks, particularly those designed to accommodate token issuance, were notably smaller nations. These included Estonia, Lithuania, Malta and Gibraltar; along with Switzerland, which became home to 'Crypto Valley' boasting 14 crypto unicorns (source). Larger economies would not push for new regulatory frameworks for some years to come. Indeed, it was not until the end of this first decade, in 2018, that virtual asset policy was elevated to G20 communiqué status. By this time, Bitcoin had entered a 'bear market' cycle, and token sales were in decline.

Of most relevance to this paper, the industry's best-recognised stablecoins all launched at different times during this first decade, and were all pegged to the US dollar. Tether (USDT) launched in 2014 under the name 'Realcoin' and, following significant market expansion in its following years, remains the dominant stablecoin today by market capitalisation. DAI, a decentralised stablecoin managed by MakerDAO, launched in late 2017 with Ether (ETH) as its backing collateral. The DAO later converted DAI to a multi-collateral system and introduced a savings rate (DSR). USDC, the stablecoin with the second-largest market capitalization today, was first issued by Circle in 2018, and claims to be the dominant regulated stablecoin globally. Despite USDT's consistent ranking as the largest stablecoin by market capitalisation, Tether has faced strong scrutiny from broad stakeholder groups, and remains a regular source of controversy among industry commentators.

Overall, with respect to financial services laws, we observe that, during this early era, regulators in larger economies initially tended towards the release of guidance notes and enforcement actions, with the specific aforementioned legislative reforms filling in the gaps. However, there was little discourse focused on stablecoin policy development. Policymakers in these jurisdictions (for example, the United States and Australia) were accepting of this status quo, as they were largely unconvinced that virtual assets could ever play a meaningful

[1] Further losses would be incurred in later years, particularly the great crypto credit crunch of 2022, which featured around the dramatic collapse of a popular stablecoin project on 9 May 2022, and which culminated in FTX's declaration of bankruptcy on 11 November 2022, discussed later in this section.

role in global payments, driven by scepticism about blockchain's technological scalability and the industry's lack of credibility among key stakeholders. Therefore, policy and enforcement actions remained primarily focused on AML/CTF issues, tax compliance, and a desire to squash scams and retail speculation.

But eventually, the growth of stablecoins would prove to be convincing, and would go on to spark a substantive wave of policy attention globally, including in large economies across Europe and the UK, and the Asia-Pacific.

1.2 The rise of stablecoins in a tumultuous era: 2019-2022

Stablecoin policy discussions first gained serious momentum in the regulatory community upon Facebook's announcement of its Libra stablecoin project in June 2019. This bold plan was to be a partnership with 27 other brands, including household names such as Visa, Mastercard, PayPal and Stripe. This initiative sparked immediate and intense backlash from various governments and regulatory bodies worldwide. Concerns over financial stability, monetary sovereignty, and consumer protection (including data privacy) led to significant opposition globally; most vocally in European Union nations. This international backlash ultimately dissuaded the consortium, headquartered in Switzerland, from proceeding with its initial plans: it took less than four months for the major payment firms to drop out, and the project continued to face numerous hurdles. It was rebranded to Diem, but the project ultimately wound up in 2022, with its assets being sold off to Silvergate Bank (source). David Marcus, former Meta executive previously leading the association, recently shared his public reflections on the difficult relationship between the project and regulators in a social media post attracting more than 5 million views (source), capturing the mood of the time.

Throughout this period, many policy professionals (including the Bank for International Settlements) asserted that Central Bank Digital Currencies (CBDCs) would become important antidotes to the cryptocurrency craze, as well as offering interesting new tools to support governmental goals related to payments and financial system management. Notably, the then-sitting Bank of England Governor, Mark Carney, now the Canadian Prime Minister, discussed the potential benefits of fiat currency tokenisation in his final speech at the Jackson Hole Economic Symposium in August 2019. Carney proposed that a Synthetic Hegemonic Currency (SHC), provided by a network of CBDCs, could reduce reliance on the U.S. dollar and help mitigate the negative impacts of global financial cycles and trade tensions (source). Within the G20, stablecoins first began to feature as part of cryptocurrency conversations in 2019, were then first mentioned explicitly in its communiqué in 2020, and has remained a prominent topic in subsequent releases.

The 'everything bubble' that resulted from COVID-related shocks and fiscal stimulus left few markets untouched, and virtual assets were no exception.[2] The on-chain yield-farming frenzy known as 'DeFi Summer' kicked off in earnest in 2020, and stablecoins performed an important role in the DeFi ecosystem, including as collateral for on-chain loans and liquidity provision, on platforms such as Uniswap. Following the peak of DeFi Summer in 2020,

[2] See https://en.wikipedia.org/wiki/Everything_bubble.

attention turned to NFTs, which experienced their peak of frenzy in 2021.[3] Bitcoin then reached its cycle peak in November 2021. While these were thrilling events for participants on the frontlines, these occurrences did not meaningfully impact the direction or urgency of virtual asset policy work that was underway globally. Primarily because complex 'Layer 2' activities would not emerge onto the radar of decision-makers until a few years later, and because COVID remained the policy priority at this time.

However, the virtual asset sector subsequently experienced a series of significant governance failures throughout 2022, catalysing urgent and widespread discussions about the need for regulatory oversight across the industry, and pressed again on concerns about stablecoins and their inherent risks. In particular, the wealth destruction caused by Terra-Luna's downward spiral raised alarms about the stability of algorithmic stablecoins. The resulting credit and liquidity crunch permanently re-shaped the industry and raised concerns about systemic risk in the sector. In particular, the collapse of Celsius, and the revelations about FTX's improper management, heightened concerns about the adequacy and appropriateness of backing consumer liabilities with self-issued virtual asset tokens. These events also made clear the urgent need for better corporate governance and oversight in the sector, giving momentum to some of the industry's self-regulatory ideas such as 'Proof of Reserves', and focusing attention on the importance of asset segregation, sound treasury management practices, and even calling into question the role and responsibility apportioned to the venture capital community that had aggressively backed these projects.[4]

Of relevance to this paper's comparative analysis, it was during this era that the Government of Dubai passed cabinet legislation to authorise the creation of the Virtual Assets Regulatory Authority (VARA), the world's first crypto-dedicated regulatory agency. The "Dubai Virtual Asset Regulation Law" (Law No. 4 of 2022) was enacted in March 2022, and a comprehensive set of regulations and rulebooks were released around one year later. During this era the European Union also began consultations on its MiCA legislative package, or "Markets in Crypto-Assets (MiCA)", which was officially proposed by the European Commission in September 2020, and which entered into force in June 2023.[5]

Finally we note that critiques of Tether ramped up in this era. Ongoing complaints have primarily revolved around the accuracy of its disclosures, particularly with respect to the composition of its reserves; its third-party audit practices; and the relationship between Tether and its associated exchange Bitfinex, which was the subject of a legal case brought forward by the New York Attorney General in 2019 and, upon settlement in 2021, resulted in a fine of $18.5 million (source). Tether has made a number of public statements emphasising its intention to improve its practices but admitting no wrongdoing.

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[3] Significant transactions that occurred at this time included the sale of a digital artwork by Beeple (Mike Winkelmann) at Christie's auction house for $69 million in March 2021, and Visa's purchase of CryptoPunk #7610 for 49.5 ETH in August 2021.

[4] Exposure to Terra-Luna proved to be catastrophic for a number of high-profile businesses. Most notably, Three Arrows Capital failed as a result of its UST exposure and filed for bankruptcy in July 2022. This directly led to the collapse of Voyager Digital, which filed for bankruptcy in the same month, and also created liquidity issues for BlockFi, which filed for bankruptcy later in the year.

[5] Provisions related to asset-referenced tokens (ARTs) and electronic money tokens (EMTs) apply from 30 June 2024.

1.3 The present day, an era of renewed promises: 2023 onwards

The collapse of Silicon Valley Bank in 2023 created ripples for USDC and many other stablecoins, both centralised and decentralised. Notably, USDC briefly de-pegged, an incident which has been explored in detail by BGIN elsewhere.[6] This event validated existing worries about consumer protection and systemic risk in this asset class. However, by the time this incident occurred, policy responses to the events of 2019 and 2022 were already well-progressed (or implemented) in regions such as the UK, EU, Middle East and Asia. Risks surrounding the quality of backing collateral, the need for strong governance, and the importance of transparency and audits, were already understood in 2023 following the more catastrophic incidents of the prior year. Furthermore, while the USDC de-peg incident revealed important and interesting revelations about the potential systemic linkages between traditional finance and virtual assets, it's issuer Circle - a company licensed within the United States - was not accused of any wrongdoing, and USDC recovered well from the incident, returning to its 1:1 dollar peg, which it has subsequently maintained.

Due to all of these factors, in relative terms, the USDC de-peg event did not have as strong of an impact on stablecoin policy debates as did the events of 2019 and 2022. Further, USDC's market capitalisation eventually recovered from the incident, at the end of the 2024 calendar year. It has remained above these levels throughout all of 2025 so far, and at the time of writing, enjoys an all-time-high market capitalization above $75 billion in October 2025. USDC is now available via more than a dozen Layer 1 and Layer 2 blockchains. However, Tether's USDT remains the leading product in the stablecoin space. Having recovered much more quickly than USDC following the de-peg incident, USDT achieved a historic market capitalisation of $111 billion in May 2024 (source) after first breaching the $100 billion mark two months prior, as reported by Cointelegraph based on data printed by CoinGecko (source). As at the time of writing, USDT's market capitalization is now above $177 billion in October 2025.

In fact, the stablecoin sector as a whole has enjoyed substantial growth and increased investor and user acceptance. In April 2024, Visa published on their website an analysis revealing "steady growth" in regular users of stablecoins "with 27.5 million monthly active users across all chains" (source). Adoption has only accelerated since then. In dollar terms, the stablecoin market has boomed to be worth more than $300 billion in October 2025, a growth rate of 47 per cent YTD (source).[7] It is clear that, despite the many challenges that the industry has faced, the stablecoin business model has sustained particular relevance over time and is now enjoying an era of renewed promise.

This places stablecoins in contrast with many of the industry's prior fads, in that consumer confidence in stablecoins has continued to grow over a period of years, despite numerous

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[6] A thorough evaluation of the spectrum of risks revealed by the USDC depegging incident has been published by BGIN (see Kakebayashi 2023).

[7] This has taken place against a backdrop of wider successes for the industry over the past couple of years, including: the launch of several spot ETF products in the United States, and the successful passage of its GENIUS Act; Circle's IPO; the validation of tokenised financial products by BlackRock; PayPal launching its own stablecoin; and all-time-high Bitcoin prices - records which continue to be broken at the time of writing.

crises and despite the backdrop of highly volatile market cycles. Potts, Berg & White (2024) explain this dynamic through the concept of common knowledge, in which shared and publicly recognised trust in the stability of a currency becomes self-reinforcing. As a result, stablecoin market capitalisation has continued to expand while regulation has been lagging to catch up; demonstrating that user confidence in stablecoin instruments was already solidifying through coordinated belief in their credibility and resilience; as distinct from purely speculative attempts at rapid profit-generation in categories such as memecoins, on-chain betting and gaming, pump-and-dump schemes, or crowd-sourced venture campaigns such as ICOs. Given that few products in the space have proven to be more successful at this point in the industry's development, it is clear to see why regulators are now seeking to enable this sub-category within clear regulatory frameworks, and have thus begun to develop stablecoin-specific rules for the industry to follow.

Such frameworks inevitably take into account the clear risks that these instruments pose to consumers, and the risks posed to financial stability itself. These risks have already been formally identified within multilateral policy organisations, and dealt with first-hand by market participants. Their specific impact on regulator priorities is explored in the following section.

2. The impact of recent events on regulator priorities

In response to the above timeline of events, regulators worldwide began advancing numerous policy initiatives to address these concerns, some of which remain in debate and/or consultation phase, and some which have progressed to implementation. The most pressing priorities identified were in relation to consumer protection and market integrity. Additionally, broader governance issues, such as preventing and managing conflicts of interest in group structures, also came to the forefront. These policy issues can be seen clearly reflected in two jurisdictions that have brought new stablecoin rules into force in the context of comprehensive virtual asset regimes: the Emirate of Dubai, and the European Union. VARA's stablecoin issuance policy [reference] first came into effect upon its publication in 2023, while the EU's specific provisions regarding asset-referenced tokens and e-money tokens entered into force on 30 June 2024.

Specifically, the key regulatory themes tied to stablecoins that were enacted in these two jurisdictions in the aftermath of previously described historical events were:

1. Rehypothecation of assets,
2. Audits and other disclosures,
    a. including rules for White Papers,
3. Segregation of customer assets,
    a. and proper governance of the reserve, including liquidity management, and
4. Prudential policy and risk management, including those related to yield products.

What follows is a more detailed exploration as to how the above policy priorities have been interpreted and mitigated under each regime, highlighting their similarities and differences.

3. Comparing stablecoin rules under MiCA in the EU vs. VARA in Dubai

This section will show that the stablecoin regulatory regimes in the EU and Dubai are very similar, focusing on the same policy thematics, and with comparable mitigations and restrictions. However, there are some differences in how the policies are operationalised.

3.1 Rehypothecation of assets is prohibited by default

Rehypothecation, which refers to the practice of reusing collateral posted by clients, became a major concern in 2022. Rehypothecation practices are tightly regulated under both MiCA and VARA, reflecting a shared concern over the potential misuse of reserve assets. MiCA explicitly states that reserve assets must not be rehypothecated or encumbered, and any such practices must be fully disclosed in the whitepaper. Similarly, VARA restricts rehypothecation of reserves backing stablecoins, ensuring these assets are not used for other purposes. Any exceptions to this rule must be disclosed in the whitepaper and approved by the regulator.

[Section, Act etc MiCA]

Article 45(4)

[Section, Act etc VARA]

3.2 Audits are compulsory and require third party assurance

Under both MiCA in the European Union and VARA in Dubai, stablecoin issuers are subject to stringent audit requirements, though the specifics vary. The primary risk these regulations aim to mitigate is the potential insolvency of stablecoin issuers, ensuring they have sufficient reserves to meet redemption requests and maintain market confidence. Both regimes require issuers to disclose audit results and reserve holdings publicly, enhancing transparency and trust within the market.

MiCA mandates that issuers of asset-referenced tokens conduct periodic audits, typically on an annual basis, to verify the adequacy and quality of the reserves backing the tokens. These audits are detailed in Article 45(2), ensuring that statutory auditors or audit firms oversee the process.

Similarly, VARA requires issuers of Fiat-Referenced Virtual Assets (FRVAs) to undergo regular audits, which include internal and independent third-party audits. These audits confirm the existence, value, and accessibility of the reserves, ensuring compliance with regulatory frameworks.

コメントの追加 [1]: On MiCA, things that might be worth calling out as interesting -

1. the additional requirements relating to non-Euro stablecoins - monitoring of usage as means of payment and associated caps.

2. significant stablecoins - additional reserve assets - impact on profitability

More broadly I think there's value expanding the aperture to look at other jurisdictions.

- Treatment of unregulated stablecoins - whether they are permitted for retail listing and trading

- Permissioned vs. permissionless chains - e.g. in Japan I understand there is significant cautiousness about permissionless chains

コメントの追加 [2]: I am also curious if there is any / potential difference in term of eligible asset - for example government MMF is allowed, any maturity, concentration requirement?

コメントの追加 [3]: I am curious about reverse repo practices and to what extent this is allowed in various countries. Only CCP cleared repo and how long is the maturity?

コメントの追加 [4]: Good point. It would be worth discuss in WG meetings as well as in Block #12 whether to include comparative analysis of regulations on
(1) asset (fiat) backed stablecoins; and
(2) algorithmic stablecoins
on a sigle paper or in a series of papers.

As we may aware MiCA defines
(1) e-money tokens and asset-referenced tokens (not using word "stablecoins"); and
(2) tokens other than EMT and ART (more stringent requirements)

Precedingly, Japan revised Payment Services Act in 2023, enacted in 2024, defining
(1) electronic payment instrument, and ...

コメントの追加 [5R4]: Otherwise , we can discuss extended research on extraterritorial use of stablecoins, both financial stability and money laundering risk.

コメントの追加 [6]: This article refers to significant asset referenced tokens. Art 37 (1) a describes the same requirement for non-significant asset reference tokens.

コメントの追加 [7]: I don't find the same requirement on e-money tokens in MiCA. I assume similar requirements are stated in e-money regulations.

コメントの追加 [8]: I don't find the same requirement on e-money tokens in MiCA. I assume similar requirements are stated in e-money regulations.

コメントの追加 [9]: This article refers to significant asset referenced tokens. Art 37 (1) a describes the same requirement for non-significant asset reference tokens.

3.2a White Paper requirements specify the details that must be disclosed to the public

Early in its existence, the cryptocurrency community converged on a common practice of publishing various disclosures via ‘White Paper’ publication, which is sometimes compared to a Product Disclosure Statement usually found in traditional financial services. The practice of issuing a White Paper has been endorsed in Europe and in Dubai, including in the case of stablecoins.

The content and approval process for whitepapers under MiCA and VARA exhibit several similarities aimed at ensuring comprehensive disclosure and regulatory compliance. MiCA stipulates that whitepapers must include detailed information about the token, its underlying assets, the mechanism for maintaining its value, governance structure, and risk disclosures, as specified in Articles 17 and 18. The whitepaper must be submitted to and approved by the national competent authority before issuance.

VARA’s requirements are similarly rigorous. The whitepaper must detail the nature of the stablecoin, its backing assets, mechanisms for maintaining its peg, and rights and obligations of token holders. VARA also mandates the disclosure of material information impacting the token's value and the issuer's ability to maintain the peg.

These requirements form part of a range of policies within each regime that collectively aim to mitigate the risks that arise from a lack of transparency, and ideally will work to reduce information asymmetry in the market for stablecoins.

3.3a Client asset segregation is enforced alongside reserve asset management policies

Both MiCA and VARA provide detailed regulations on the management of reserve assets, focusing on segregation and accessibility. Among other goals, these measures are intended to mitigate liquidity risks and protect the reserve assets from being compromised, ensuring they are always available to back the stablecoins.

MiCA requires that the reserve assets be legally segregated from the issuers’ estate and from the reserves of other asset-referenced tokens. Article 45(2) ensures that creditors of the issuers have no recourse to the reserve assets, particularly in the event of insolvency. Operational segregation is also mandated to ensure that the reserve assets remain dedicated to backing the tokens.

VARA mandates that reserve assets be maintained with financial services firms approved during the licensing process and segregated from the issuer’s own funds. The assets must be accessible and convertible into reference currencies to process redemption requests promptly (more about liquidity is covered in the following section). Regular risk assessments are required to evaluate the appropriateness of the reserve assets' composition, ensuring diversification and regulatory compliance.

3.3b Liquidity and reserve policies emphasise responsiveness to redemption requests

Maintaining liquidity in backing assets was identified as crucial for ensuring stablecoins can meet redemption demands. Ensuring liquidity and efficient redemption processes is a critical focus for both MiCA and VARA. MiCA specifies liquidity requirements, including the types and maturities of assets that should be held to meet redemption requests. Articles 45 and 46 detail the requirements for maintaining sufficient liquidity to address redemption demands promptly. Further detail on liquidity requirements is forthcoming from the EBA.

VARA also emphasises liquidity, requiring issuers to maintain sufficient reserves to ensure that FRVAs are 100% backed at all times. The relevant rulebook mandates that redemption requests must be processed within one working day, barring significant disruptions. Policies must be in place to ensure timely access to reserve assets for redemption purposes.

3.4 Prudential requirements and risk management

Both regulatory frameworks emphasise the importance of high-quality collateral and stringent prudential standards to safeguard the stability of stablecoins. These requirements are designed to mitigate broader financial risks, ensuring that issuers have sufficient liquidity to meet redemption requests and maintain market stability, to prevent a recurrence of a de-peg similar to the run on USDC that occurred in 2023.

MiCA allows a range of high-quality assets to be used as collateral, including cash and government bonds. Article 45 specifies that these assets must meet certain liquidity and credit quality standards, ensuring they can be liquidated rapidly with minimal adverse effects. Issuers must maintain adequate reserves and comply with specific liquidity requirements to meet redemption demands.

VARA also sets out specific standards for the types and quality of assets that can be used as collateral. Acceptable collateral includes cash, high-quality liquid assets (HQLA), and short-term government bonds. The assets must be highly liquid and low-risk, capable of covering the value of the issued tokens at all times. VARA's rulebook emphasises maintaining a percentage of reserves in highly liquid assets and implementing robust risk management frameworks.

Note: BGIN has discussed the possibility to design more flexible capital adequacy frameworks at its Block 11 meeting. More information can be shared upon request.

3.5 Prohibition of Interest and Fees

MiCA and VARA both prohibit issuers from granting interest or benefits linked to the length of time holders possess the stablecoins. MiCA's Article 36 explicitly prohibits issuers and crypto-asset service providers from granting interest or any remuneration equivalent to interest. Similarly, VARA forbids issuers from providing any payments or benefits to incentivize the acquisition or holding of FRVAs. Additionally, both regimes mandate that the

コメントの追加 [10]: I didn't know about this. And from my understanding, it is not what is required under the Japanese law. It is interesting if the requirement is just for the purpose of maintaining the intended function as a stable medium of exchange. A lot of DeFi protocols give liquidity provision rewards to stablecoin holders anyways. It is already use also as an investment vehicle. Plus, while it is related to my paper on staking, retaking protocols started accepting stablecoins, which one of the examples that characterizes the trend of stablecoins being used as an investment vehicle.

コメントの追加 [11R10]: What is the specific stablecoin regulation in Japan called?

redemption of stablecoins should not be subject to fees. This prohibition ensures that holders can redeem their tokens at par value without incurring additional costs.

These prohibitions are designed to mitigate risks associated with speculative investments and ensure that the stablecoins maintain their intended function as a stable medium of exchange rather than an investment vehicle. However, some industry participants are sceptical that such prohibitions are inconsistent with broader practices in the traditional financial sector, and that such policies have arisen as a result of lobbying by incumbent banks who perceive stablecoins as a threat to their business models. For example, David Sachs, chief crypto advisor to the current Trump Administration, alluded to this on an episode of the All In Podcast in June 2025 in the context of the GENIUS Act (source).

4. Observations

In summary, both MiCA and VARA provide comprehensive regulatory frameworks to ensure the stability and integrity of stablecoins. While there are nuanced differences in their approaches, both regimes share common goals of enhancing transparency, maintaining adequate reserves, and protecting investors. The stringent audit, disclosure, and collateral requirements under both regulations aim to mitigate financial, operational, and liquidity risks, ensuring the robustness of the stablecoin market. Both regimes also recognise the importance of AML/KYC compliance and procedures, although this is not limited to stablecoins.

[expand this section - We need to further discuss what are the key implications from the comparison and draw messages here even though some implications are already written in above body.]

5. Future considerations and international perspectives

[short paragraph]

[writing about why we chose these considerations and what may come of these]

What issues still need to be addressed in the stablecoin space? [ideas] [chainalysis]

There continues to be room for significant innovation, competition, and market reform in the stablecoin space. According to Stablecoin Insider (2025), “Analysts project stablecoins could swell to $500-750 billion by 2027, with 2030 forecasts at $1T+ in a base case”. The projects that are currently dominating market share will continue to face challenges as the industry grows.

“As of September 2025, China is reviewing a comprehensive roadmap for yuan-backed stablecoins, with Hong Kong's regulatory framework already operational since August 1, 2025, and the first mainland licenses expected in early 2026.” https://www.stablecoininsider.com/chinas-2026-stablecoin-strategy/?ref=stablecoin-insider-newsletter

コメントの追加 [12]: I understand where these requirements are coming from - FSB high level recommendations - such as "without undue cost" "any fee should not be high". Does this mean that stablecoin issuers cannot adopt swing price or redemption fees?

コメントの追加 [13]: I suggest using other expression in this title;
e.g. 1 "Perspectives for further studies".
e.g. 2 "Future considerations"
Reason: (1) We discussed in the WG calls that that we list issues yet contained in MiCA and VARA regulation, (2) These issues need to further examined prior to concluding policy considerations, (3) This section contained variety of "so-called stablecoins" as opposed to legally defined "tokens" in MiCA and VARA regulations in previous section as main theme of this paper.

コメントの追加 [14]: MiCA and VARA seem to be suitable for fiat-backed stablecoins... But there are many other types of stablecoins that are not properly covered.

Also, existing regulations seem to have a shallow and prejudiced understanding of what "algorithmic" means.

コメントの追加 [15]: A few issues that immediately come to mind:
1. Cross-border supervision - we have cross-border supervisory frameworks for banks, but not yet anything similar for international stablecoins.

2. Financial integrity - no clear consensus over stablecoin issuers' AML obligations - e.g. with regard to freeze, burn, blacklist capabilities, voluntary freezes of illicit assets etc.

3. Cybersecurity - has not been a big focus thus far of regulation. But stablecoins are token smart contracts. What happens if someone hacks and mints a whole bunch and that leads to a depeg with spillover implications?

More broadly, access to payment services, central bank accounts, etc.

Australia is looking to make it a criminal offense to miss reporting deadlines [MJ].

5.1 U.S. Policy Developments & Global Implications

The United States is now moving toward a comprehensive framework after several years of debate.

コメントの追加 [16]: This may be included in "4.Conclusions"

The United States has recently accelerated its efforts to establish a comprehensive stablecoin regulatory framework, with several notable developments in 2024–2025; these movements have come after several years of debate and positive local reception for the commercial utility of stablecoins. To outline the most relevant stablecoin-related milestones in the context of this paper, we will focus on these US Policy and Stablecoin-related Developments and the potential global implications and their relation to VARA, MiCA and Japan:

1. The GENIUS Act of 2025
2. Circle's IPO
3. FIT 21 Act & CLARITY Act
4. NYDFS Stablecoin Guidance

The addition of Circles IPO intermingled amongst the listed legislation may come as a surprise, further explanation on it's inclusion as the success and capital interest is quantified in later sections. The outlined key US policy developments, include new laws, industry moves, and regulatory actions, we then analyze how they position the U.S. relative to other jurisdictions, as well as the broader implications for global stablecoin usage and regulation.

To note on the broader implications, and to set expectations without unnecessary scope creep, we only chose to explore how the US Policy Development and it's potential impact regarding:

1. Trending Toward Global Standardization
2. Market Concentrated Interest in Legitimized Regulated Actors
3. Exacerbated Dollarization
4. Stablecoin's Original Promise - Financial Inclusion

5.1.1 GENIUS Act 2025

The Guiding and Establishing National Innovation for U.S. Stablecoins Act (GENIUS Act), passed congress in July, 2025 and marks the first major US Federal legislation on stablecoins. After years of debate, court proceedings and multiple changes in US administration, the GENIUS Act creates a clear regulatory framework for fiat-referenced Stablecoins and avoids covering under broader previously industry cycled definitions of stablecoins.
The GENIUS Act, enters new definitions into practice, removing the potential that regulated stablecoins from qualified issuers falling into established securities and commodities definitions, and instead falling under prudential oversight. Arguably, this could be considered as one of the largest wins for stablecoins, howeverm it does come as a double-edged sword

as it pushes issuers under banking-style oversight rather than falling within the SEC or CFTC remit. The law prohibits anyone from issuing a payment stablecoin in the U.S. unless they are an approved permitted payment stablecoin issuer, such as a regulated U.S. depository institution or a specially licensed non-bank firm. Effectively restricting the issuance of stablecoins to banks, bank subsidiaries, OCC-chartered stablecoin entities or state-regulated stablecoin issuers.

The Act imposes a number of strict prudential requirements:

1. Stablecoins must be fully backed by high-quality liquid assets (like cash and short-term Treasury bills) to address run and liquidity risks
2. Prohibits rehypothecation of reserve assets, restricting reserves from reuse, except for extremely limited short-term overnight overnight liquidity needs
3. Prohibits paying any interest or yield to stablecoin holders, restricting issuers from rewarding stablecoin deposits or ownership

These provisions and restrictions seem to be selected to relegate stablecoins as a payment tool rather than an investment product; following a similar policy approach shared by MiCA and VARA.

Without any surprise, stablecoin issuers will be required to meet AML/CTF and KYC obligations, as outlined in the Bank Secrecy Act (BSA) and will also have technical capabilities to freeze or seize tokens in response to lawful enforcement orders. It should be noted that the technical censorship required within the GENIUS Act, has at the most part been implemented by Stablecoin Issuers, such as Circle, even in these cases, the obligation is expected to influence the future of stablecoin issuers and may cause a market response.

5.1.2 Circle’s IPO

5.1.3 FIT21 Act & Clarity Act

5.1.4 NYDFS Stablecoin Guidance

5.2 Regulatory Perspectives on Different Stablecoin Primitives

Comments from 5.11.25 WG: differentiating between yield that is generated on-chain versus paid out of reserves. Generating yield in secondary markets is preferred. [MJ]

5.2.1 Yield-bearing Tokens

A notable recent development is the emergence of yield-bearing tokens, which share with users the interest earned on their reserve assets. Some of them brand themselves as "Yield-bearing Stablecoins". Traditional fiat-backed stablecoins like USDT and USDC currently pay holders no yield, even though their issuers generate significant income from investing reserve funds. With U.S. interest rates elevated (around 4–5% in 2024–25), users collectively forgo over $9 billion in annual interest by holding non-yielding stablecoins. This foregone income has catalysed innovation: new tokens such as:

- USDM (offered by Mountain Protocol)
- Ondo's USDY or OUSD

These novel tokens are designed to pass through treasury bill interest or DeFi lending yields to the coin holders.

These yield-bearing coins essentially function like tokenized money market funds, providing a stable USD peg plus a return, and have quickly gained traction. By mid-2025, yield-bearing stablecoins in circulation reached about $11 billion (roughly 4.5% of the total stablecoin market), up from only $1.5 billion a year earlier (https://cointelegraph.com/news/yield-bearing-stablecoins-hit-11b-pendle-dominates-growth)

We will need to carefully consider the economic implications of yield-bearing tokens. On one hand, these products can make coins more attractive to hold (improving "store of value" functionality) and potentially draw in more retail and institutional adoption. On the other hand, if not properly supervised, they could introduce new risks: liquidity mismatches if assets held to generate yield are less liquid, or even competitive pressure on banks if large amounts of money move from bank deposits (which are tightly regulated and insured) into such coins offering higher returns.

While yield-bearing tokens represent a natural evolution of the asset class, it is critical to distinguish between yield sourced from "on-chain activity" and that derived from "off-chain reserve assets". Yield generated on-chain - through ecosystem participation such as lending protocols, liquidity provision, or structured DeFi products - preserves transparency, composability, and decentralisation of economic activity. Every transaction and return can be independently verified, reinforcing user trust and maintaining alignment with the "open finance" ethos of blockchain and digital assets.

In, contrast, paying yield from the interest earned on asset reserves (for instance, US Treasury Bills or bank deposits), introduces conceptual and operational risks. It blurs the line between a "stablecoin" and an investment vehicle, potentially triggering security-law

コメントの追加 [17]: I suggest using "Yield-bearing Tokens"
Reason: It seems the Term Yield-bearing Stablecoin is used as a marketing word by Mountain Protocol (ond others if any). As explained in the body of this section, the aim of this type of tokens are to preserve the value of asset in the inflationary market. Users primarily need to convert into USDT, USDC, and their likes to transact. This is very much like the development of personal checks linked to MMFs in the US market. Management companies of MMFs have made alliance with (small) banks so that they can redeem the exact amount of fund to clear the personal check by receiving bank. Similar developments occurred for corporate accounts as well.

コメントの追加 [18R17]: Resolved 18.6.25

コメントの追加 [19]: Ondo carefully avoid using the word "Yield-bearing stablecoins", instead defining as "yield-bearing token secured by US Treasuries", even though giving an impression as stablecoin by stating " Enjoy the utility of stablecoins, now with safe daily yield."

(legal statement)
USDY is not, and may not be, offered, sold, or otherwise made available in the US or to US persons. USDY has not been registered under the US Securities Act of 1933, as amended ("Act") or pursuant to securities laws of any other jurisdiction, and may not be offered, sold or otherwise transferred in the US or to US persons unless registered under the Act or an exemption or exclusion from the registration requirements thereof is available.

コメントの追加 [20R19]: Resolved 18.6.25

implications, or creating maturity mismatches similar to those observed in money market funds - akin to the 2008 Reserve Primary Fund "breaking the buck" scenario[8].

Such arrangements focus economic power within larger, more mature issuers, as only entities with substantial fiat reserves can compete effectively on yield, thereby disadvantaging smaller or non-USD stablecoins. For instance, if most global stablecoin yield is derived from short-term US government debt, the ecosystem becomes indirectly dependent of US fiscal and monetary policy - posing systemic concentration risk.

On-chain yield mechanisms, in turn, allow value creation to occur transparently within thhe ecosystem, support composability across DeFi protocols, and distribute economic opportunity acros a broader participant base. They also maintain a clear seperation between a stablecoin's monetary function and investment actvity, preserving the coin;s role as neutral "base money" rather than a yield-bearing liability.

From both a prudential and ecosystem design perspective, ecouraging yield generation and distribution to occur natively on-chain offers stronge alignment with the principles of transaparency, financial sovereignty, and open innovation that can bolster the digital asset economy.

- AGDM
- Japan - if yield is generated it is classified as a crypto-asset, quite a different treatment relative to products in the payments space; similar to MiCA's view [Ken]

Note from GBBC meeting: "Bermuda has licensed quite a number of yield bearing stablecoin issuers under DABA"

コメントの追加 [21]: It could contain many implications. For example, if a coin (token) is licensed in Bermuda, does it mean it it is lincensed to market to individuals/institutions in other jurisdiction? This could resemble the development of investment fund industry.

5.2.2 Ongoing Concerns with Algorithmic Stablecoins

Even as collateralized stablecoins evolve, the industry has not fully given up on algorithmic stablecoins – those that attempt to maintain a peg purely through algorithms and market incentives rather than traditional assets in reserve. However, from a policy perspective, these designs remain highly problematic. There is inherent fragility to algorithmic stablecoin models, which can enter death spirals when confidence falls and the technology is unable to sustainably maintain economic balance between mint and burn functions.

Unfortunately, the sins of algorithmic stablecoins have stained the reputation of stablecoins, financial authorities now frequently cite the failure and collapse of algorithmic stablecoins as an example of unacceptable risk; pushing the industry back by years. [How to respond to Bruno's various comments in the body of the paper]

The European Union's MiCA does not permit the issuance of algorithmic stablecoins, instead requiring that any significant stablecoin be fully reserved and subject to bank-like prudential rules. In practice, this means an algorithmic token with no issuer or no asset backing would not be allowed to call itself a "stablecoin" in the EU. Other regulators are issuing similar guidance. In the U.S, while no blanket ban exists yet, officials have repeatedly highlighted

コメントの追加 [22]: and VARA

[8] https://www.imf.org/en/Blogs/Articles/2010/11/10/breaking-the-buck-reducing-systemic-risks-posed-by-money-market-mutual-funds

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the failure of TerraUSD as justification for strict oversight of stablecoin arrangements that lack transparency or responsible management. However, this is not a closed case, as the broader crypto and CeFi industry still attempt to experiment with algorithmic stablecoins and have defended its future implementation(s).

It is likely that algorithmic stablecoins will either be forced into regulatory gray areas or develop into hybrid models with partial collateralization in order to comply with emerging standards, while this is not a proven model that is readily accepted by regulators, it could be a step in the right direction. From a policy standpoint, recent history has made the lesson clear: stable value promises require substantive assurances, and purely algorithmic stablecoins lack concrete provisions to guarantee asset stability and redeemability, whilst balancing economic incentives.

5.2.3 Exploring CBDC-Reserved Stablecoins

Another stablecoin category that surfaced during exploration of CBDC from a myriad of reserve and federal banks was CBDC-reserved stablecoins, stablecoins that are fully backed by central bank digital currencies. These assets have been positioned to alleviate the technical and regulatory constraints imposed by CBDCs, in a future where central banks issue retail or wholesale CBDCs, private intermediaries could effectively hold those risk-free digital reserves and issue their own stablecoin tokens against them. This model would blend the best of traditional banking systems and innovative programmability of smart contracts with a regulatory and technical sound front-end use case, abstracting the safety of public money as backing.

Several pilot projects have explored this design. Notably, the BIS Innovation Hub's Project Aurum (in collaboration with the Hong Kong Monetary Authority) prototyped a two-tier system featuring an "intermediated CBDC" alongside stablecoins backed 1:1 by CBDC held in the interbank system. (https://www.bis.org/about/bisih/topics/cbdc/rcbdc.htm) In such a framework, a commercial bank or licensed payment provider could issue a tokenized dollar (or other currency) to users, but every token in circulation is matched by an equivalent amount of central bank digital currency on deposit with the central bank.

CBDC-reserved stablecoins could address some of the key risks present in today's stablecoin arrangements. Credit risk and liquidity risk would be minimized, since the reserve asset is a direct claim on the central bank. It is feasible to see CBDC-reserved stablecoin virtually eliminate the danger of stablecoins due to reserve asset default or illiquidity, and could reassure users that their tokens are truly as good as central bank money. This would also simplify regulatory oversight of stablecoins, as authorities would primarily provide market assurance that the institutions issuing these types of stablecoins hold 100% reserves at all times. This would alter how stablecoin issuers fit into the financial system, as this model starts to resemble quasi-payment service providers, of which are providing a new front-end for distributing central bank money. Which would raise more policy considerations.

1. One issue would be that if stablecoin issuers hold large volumes of CBDC, they could become critical economic actors and have degrees of effect on monetary policy efficiency. This is already seen as an issue, with the expansion of US Dollar denominated stablecoins making up the overwhelming majority of available

コメントの追加 [23]: This section may be too long as a teaser section to the seusequent study. While it is very insightful to discuss this topic, we may need to touch on "who would be lienced to issue CBDC-Reserved Stablecoins? Most of developed markets, banks do not want to have other entities to have access to Wholesale CBDCs unless the entity obtain banking license. However, banks do not have any reason to issue CBDC-Reserved Stablecoins. Why banks market such stablecoins saying "this coin is much safer than the deposit account with my bank"?

Having said that, we can observe in some emerging market the central bank issue effective 'stablecoin' and allow payment service providers use it as backing asset. This is due to the lack of existing wholesale clearing systems among banks and PSPs.

コメントの追加 [24R23]: Agreed 18.6.25: this section can be a 'box' in the main body of the paper; it doesnt contribute to the Conclusion but adds an interesting dimension.

コメントの追加 [25]: U.S. agencies currently do not use the term CBDC both retail and wholesale (they use "application of DLT in central bank deposits" (Ken 5.11.25)

コメントの追加 [26]: Suggest reviewing the sytax of this sentence. I got lost what is S and V when reading.

コメントの追加 [27]: Very interesting. I read this paper several times in the past. I understand that is is quite similar to their current system that licenses HSBC and SC as the currency note issing bank in addition to HKMA itself. I heard the issuing business itself is not money making since they can't earn income from the reserved asset while it is very costly to pring and manage the distribution of the notes.

コメントの追加 [28]: To waht do you compare with? For example, Circle explain USDC is primarily backed by short term US Treasuries. How much are credit risks different between US Treasury and Fed Reserve? I agree liquidity risks are different.

コメントの追加 [29R28]: This is worth acknowledging as a live discussion, although we will not offer an analysis ourselves.

コメントの追加 [30]: Defaut of US Treasury? Fed does not fail?

コメントの追加 [31R30]: Different considerations for USD and non-USD currencies due to the USD's role as world reserve currency.

stablecoins. It is feasible to suggest that the proliferation of CBDC-reserved stablecoins would have a monumental impact as the economic line is tied between the reserve bank and the stablecoin issuer.

2. Another issue would be cross-border financial stability, as the asset would be hyper-mobile, which has the potential to complicate capital flow management and afford exacerbated responses during financial volatility.

Despite the many benefits and relative risks, it goes without much surprise that CBDC-reserved stablecoins blur the line between public and private money. In an instance they could be a way to harness private (especially web3) sector creativity to extend the reach of central bank money into new use cases, notable programmable contracts and lean financial institutions, something of which is readily developed and matured within DeFi, however, regulators would need to delineate responsibilities and ensure consumer protections.

It is equally understandable to expect central banks to impose strict requirements on any institution leveraging CBDC for a stablecoin, including operational and risk mitigation standards, redemption terms, and perhaps caps on volumes to manage systemic impact during volatile seasons. Legal frameworks might need updating to clarify that holders of a CBDC-backed stablecoin have a direct claim on the underlying central bank money (or equivalently, that the issuer's custody of the CBDC is bankruptcy-remote for the users' benefit) or if there is no claim, but rather direct redemption with the stablecoin issuer. While this stablecoin type is theoretical and viable, it will require clarity on the stance per jurisdiction on CBDC development, the desire for this asset to be available and regulatory frameworks on issuance and redemption to be solid before these assets become available, until then it will be valuable to continue following the various experiments in flight.

5.3 Other select issues

コメントの追加 [32]: Isn't it a mix of different phenomenon on monopolising the market. I read the former discusses oligopoly in CBDC market in one country and the latter in multicurrency global market.

Concerns around currency substitution, capital flow management, bank disintermediation, and access to complementary products such as traditional insurance products, are all recurrent themes in debates around stablecoins and virtual assets. These issues are out of scope of this paper, but remain interesting considerations for various stakeholders.

APPENDICES

A.4 Identity & Stablecoins

- Bring IKP thought leadership to provide input
- USDC has functions to stop transactions with sanctioned entities - however, these are publicly available data
- Inter-bank use

コメントの追加 [33]: Agreed at WG meeting on 18/6: unless we are expecting specific input from IKP for this paper, this section should be removed, as it is out of scope.

コメントの追加 [34]: @mitchell@soulbis.com

Hey mate, can you provide some thought here from IKP?
Assigned to mitchell@soulbis.com

コメントの追加 [35R34]: :eyes:

A.7 Regulatory Mobility & Passporting of Standards

[Leave as an appendix until more confidence is reached]

Achieving interoperability and global standards is essential to realise the benefits of stablecoins. By design, stablecoins are borderless, a digital currency that can travel across the world as easily as an email; even faster in some cases. But if every country implements wholly different regulatory requirements (or technical standards) for stablecoins, this could create significant friction in what is otherwise would be a technically sound, auditable system. Asset holders might face situations where their origin or their current location stablecoin are legally recognised but however, if in another jurisdiction by either origin or current location may find that these stablecoins are unusable, or potentially illegal. Potentially in one jurisdiction transferring a stablecoin between two blockchains requires a third-party bridge, but this may be illegal or unsafe unless it is approved by the relevant authority.

It is possible for mutual recognition arrangements or passporting frameworks could be created to allow a stablecoin approved in one jurisdiction (under robust standards) to be more easily accepted elsewhere. This is analogous to how traditional financial institutions operate under home/host supervisor agreements. A coordinated global framework, even if high-level, would help ensure that stablecoin users enjoy consistent protections regardless of where they are or which token they hold. In the interim, some countries are explicitly accounting for foreign stablecoins in their laws. Japan's law, for instance, will allow foreign-issued stablecoins to be traded in Japan only if they meet equivalently high standards of safety and transparency, thereby aligning with domestic consumer protection goals.(www.fsa.go.jp/en/news/2022/20220914-2/02.pdf)

5. Key Contributors

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6. References

https://link.springer.com/chapter/10.1007/978-3-031-48806-1_10